

The Demurrer to the Third Cause of Action is **sustained** with leave to amend.

Fourth Cause of Action for Malicious Prosecution

A claim for malicious prosecution of a civil action requires among other things that the lawsuit ended in plaintiff's favor. (CACI 1501, *Bertero v. National General Corp.* (1974) 13 Cal.3d 43, 50.)

The Cross Complaint alleges that the current lawsuit was filed by Plaintiffs without probable cause. (Cross-Complaint, ¶¶ 143, 146.)

The Court agrees that this cause of action fails as a matter of law and cannot reasonably be cured by amendment.

The demurrer to the Fourth Cause of Action in the Cross-Complaint is **sustained without leave to amend**.

Fifth Cause of Action for Unjust Enrichment

The Fifth Cause of Action, styled "Unjust Enrichment," alleges that Cross-Defendant Elvecio Machado was "excessively overpaid for the payback of his fragmented loans, which should be returned to the Company," "was unfairly paid shareholder's distributions when none of his Company fellow shareholders received any, which should be returned to the Company," and personally benefitted from the Company's resources, which should be paid to the Company.

There is no cause of action for "unjust enrichment." *Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App. 4th 779, 793. Cross-Plaintiffs must allege a cognizable legal theory.

The demurrer to the Fifth Cause of Action in the Cross-Complaint is **sustained** with leave to amend.

Conclusion

The demurrer to the Second and Third Causes of Action in the Cross-Complaint is **sustained** with leave to amend. The demurrer to the Fourth Cause of Action in the Cross-Complaint is **sustained without leave to amend**. The demurrer to the Fifth Cause of Action in the Cross-Complaint is **sustained** with leave to amend.

Cross-Defendants are directed to prepare and serve notice of entry of this order on Cross Complainants. Cross-Complainants must file an Amended Complaint within 30 days of service of notice of entry of this order.

6. 9:00 AM CASE NUMBER: C23-01219
CASE NAME: ELVECIO MACHADO VS. GINO CARUSO
*HEARING ON MOTION IN RE: STRIKE PORTIONS OF THE CROSS-COMPLAINT
FILED BY: MACHADO, ELVECIO
TENTATIVE RULING:

Before the Court is the unopposed Motion, filed May 29, 2026, of Plaintiffs and Cross-Defendants

(Cross-Defendants) Elvecio Machado and Tatiana Arambulo to Strike Portions of the Verified Cross-Complaint filed April 27, 2026 of Defendants and Cross-Complainants (Cross-Complainants) Gino Caruso and Laudelino Caruso. The motion is **granted**.

The motion was originally set to be heard on October 30, 2026. However, during a Case Management Conference on June 9, 2026 with all parties present, the court advanced the hearing date to September 4, 2026. On August 28, 2026 – five court days before the September 4, 2026 hearing date, Cross-Complainants Gino Caruso and Laudelina Caruso, representing themselves, filed a pleading styled, “Defendants/Cross-Complainants Gino Caruso and Laudelina Caruso’s Notion of Motion and Motion for Continuance of Hearing on Cross-Defendants’ Demurrer and Motion to Strike; Request for an Order Shortening Time and Earliest Available Hearing” in which they requested, among other things, that the Court “hear and determine the request for continuance first at the September 4 hearing, before proceeding with the Demurrer and Motion to Strike.” This request is **denied**.

The Cross-Complainants’ opposition papers were due 9 court days prior to the hearing date. Cross-Complainants did not file an opposition to the instant motion. The Cross-Complaints’ August 28, 2026 request for the court to hear a motion to continue the hearing set for September 4, 2026 is denied as untimely. The request for an Order Shortening Time is denied as impractical. The Cross-Complainant’s papers were filed 5 court days prior to the September 4th hearing date and the court had no hearing dates between August 28, 2026 and September 4, 2026.

Analysis

The Cross-Defendants’ seek to strike the following allegations from the Cross-Complaint filed April 27, 2026:

- [1] Paragraph 76 (page 13, lines 12-16), in its entirety, on the ground that the characterization of Elvecio Machado's conduct as "bullying" and "abusive" is irrelevant to any pleaded cause of action and constitutes scandalous, prejudicial matter improper in a pleading. (CCP § 436(a).)
- [2] The phrase "moving materials at his pot farm in Humboldt County" from Paragraph 114 (page 17, lines 13-15), on the grounds that the allegation of an unrelated "pot farm" is irrelevant, scandalous, and designed solely to prejudice Cross-Defendants before the Court. (CCP § 436(a).)
- [3] Paragraph 118 (page 18, lines 1-3), in its entirety, on the ground that the allegation that Tatiana Arambulo misappropriated \$2,950 in cash is irrelevant to any pleaded cause of action and is prejudicial. (CCP § 436(a).)
- [4] All prayers for punitive damages and all related allegations of malice, fraud, or oppression, on the grounds that the Cross-Complaint contains no factual allegations sufficient to support a claim for punitive damages under Civil Code § 3294, and such allegations are therefore improper. (CCP § 436(b).)

In the absence of a filed opposition, the court finds the Cross-Defendants’ arguments to be reasonable

in the context of the Cross-Complaint's claims.

In the court's ruling on the Demurer to Cross-Complaint, the Court sustained the Demurrer with regard to the "Fraud/Concealment" and "Constructive Fraud" causes of action. Therefore the Court agrees that the prayers for punitive damages should be stricken.

The Motion to Strike is **granted**.

Cross-Defendants are directed to prepare and serve notice of entry of this order on Cross-Complainants. Cross-Complainants must file an Amended Complaint within 30 days of service of notice of entry of this order.

7. 9:00 AM CASE NUMBER: C23-01219

CASE NAME: ELVECIO MACHADO VS. GINO CARUSO

***HEARING ON MOTION IN RE: TO DISMISS FOR FAILURE TO COMPLY WITH COURT ORDER**

FILED BY: CARUSO, LAUDELINA

TENTATIVE RULING:

At the June 6, 2026 Case Management Conference, the court explained to the moving party that the premise of its motion was incorrect. Plaintiffs had not violated a court order because they filed their First Amended Complaint in a timely fashion. In open court, the moving party graciously agreed to withdraw this motion and this was noted in the minutes of the June 6, 2026 Case Management Conference.

The motion was previously withdrawn.

8. 9:00 AM CASE NUMBER: C24-00026

CASE NAME: AVERY TIDWELL VS. DOES 1 THROUGH 100, INCLUSIVE

***HEARING ON MINOR'S COMPROMISE AS TO JAYLYN BRUSSARD**

FILED BY: BRUSSARD, JAYLYN

TENTATIVE RULING:

Petitioner **Avery Tidwell's** Petition for Approval of Compromise of Minor **Jaylyn Brussard's** ("Minor") Claim ("Petition"), filed on April 13, 2026, is **granted**.

After careful examination of the Petition and proposed orders, the Court finds good cause to approve the Petition. Accordingly, the Petition is granted. The Court will execute the Proposed Order Approving Compromise of Minor's Claim and the Proposed Order to Deposit Funds into a Blocked Account lodged with the Court on April 13, 2026.